

1990s, according to Merrill Lynch, roughly \$15 billion in convertibles were issued annually; by 1999, issuance had more than doubled to \$39 billion. In 2000, \$58 billion in convertibles were issued, and in 2001, another \$105 billion emerged. As Graham warns, convertible securities always come out of the woodwork near the end of a bull market—largely because even poor-quality companies then have stock returns high enough to make the conversion feature seem attractive.

* Recent structural changes in the convertible market have negated some of these criticisms. Convertible preferred stock, which made up roughly half the total convertible market in Graham's day, now accounts for only an eighth of the market. Maturities are shorter, making convertible bonds less volatile, and many now carry "call protection," or assurances against early redemption. And more than half of all convertibles are now investment grade, a significant improvement in credit quality from Graham's time. Thus, in 2002, the Merrill Lynch All U.S. Convertible Index lost 8.6%—versus the 22.1% loss of the S & P 500-stock index and the 31.3% decline in the NASDAQ Composite stock index.

* A bond is "called" when the issuing corporation forcibly pays it off ahead of the stated maturity date, or final due date for interest payments. For a brief summary of how convertible bonds work, see Note 1 in the commentary on this chapter (p. 418).

* In recent years, convertibles have tended to outperform the Standard & Poor's 500-stock index during declining stock markets, but they have typically underperformed other bonds—which weakens, but does not fully negate, the criticism Graham makes here.

* This sentence could serve as the epitaph for the bull market of the 1990s. Among the "few prudent principles" that investors forgot were such market clichés as "Trees don't grow to the sky" and "Bulls make money, bears make money, but pigs get slaughtered."

* AT&T Corp. no longer is a significant issuer of convertible bonds. Among the largest issuers of convertibles today are General Motors, Merrill Lynch, Tyco International, and Roche.

* For a further discussion of "pro forma" financial results, see the commentary on Chapter 12.

† In recent years, convertible bonds have been heavily issued by companies in the financial, health-care, and technology industries.

* Warrants were an extremely widespread technique of corporate finance in the nineteenth century and were fairly common even in Graham's day. They have since diminished in importance and popularity—one of the few recent developments that would give Graham unreserved pleasure. As of year-end 2002, there were only seven remaining warrant issues on